

Research Assignment 2

1. BUSINESS ANALYTICS

- Business analytics is the practice of using data, statistical methods and technology to analyze business performance and support decision-making.
- Businesses use it to analyze what is happening in the business, give solutions to business problems and make informed decisions. It converts raw data into actionable insights that boost business growth.
- Example: A retail company such as Amazon.
- Source: <https://www.ibm.com/topics/business-analytics>

2. DATA ANALYTICS

- Data analytics is the process of cleaning, analyzing and interpreting data to find patterns and insights. It's about working with raw data to answer specific questions, and to support decision making.
- Example: A streaming service such as Netflix.
- Source: <https://learn.microsoft.com>

3. Business Intelligence is the term used for the technologies and processes that collect, analyze and present business data in a meaningful way. It focuses on building reports, dashboards and visualizations that enable businesses to understand performance and make informed decisions.

- Example: Microsoft.

Source: <https://powerbi.microsoft.com>

4. DATA-DRIVEN DECISION MAKING

- Data-driven decision making is a technique of management that relies on data analysis to make

decisions rather than guesswork. Its about getting the right data, analyzing it and then using the insights to guide business strategies and actions.

- Example: Google

Source: <https://www.orade.com>

5. BIG DATA

- Big data is a term that refers to data sets that are so large or complex that traditional data processing tools are not adequate. Big data is defined by Volume, velocity and variety, it enables organizations to identify patterns and insights that help them make better decisions.

- Example: Facebook

Source: <https://www.ibm.com>

6. DESCRIPTIVE ANALYTICS

- Descriptive analytics is the analysis of historical data to understand what has already happened in a business or process. It uses reports, dashboards and visualizations to summarize data and draw attention to trends and patterns. This kind of analytics tells you what happened, but not why.

- Example: Coca-cola uses descriptive analytics to review monthly sales reports.

Source: <https://www.ibm.com>

7. DIAGNOSTIC ANALYTICS

- Diagnostic analytics is about understanding why something happened through data analysis.
- Example: Uber, uses diagnostic analytics to understand why there is a sudden increase in ride cancellations.

Source: <https://www.ibm.com>.

8. PREDICTIVE ANALYTICS

- Predictive analytics is an advanced branch of data science that uses historical data, statistical modeling and machine learning to answer the question

Example: Amazon uses predictive analytics to forecast customer demand.

Source: <https://cloud.google.com>

9. PRESCRIPTIVE ANALYTICS

- Prescriptive analytics is the practice of analyzing data to identify patterns, which can be used to make predictions and determine action to be taken.

Example: Logistics & Supply Chain Route Optimization.

Source: <https://sawtoothsoftware.com>.

10. DATA LITERACY

- Data literacy is the ability to read, understand, interpret and communicate data effectively. It includes knowing how data is collected, what it means and how it used to make informed decisions.

Example: Shoprite Holdings.

Source: <https://www.qlik.com>

11. STRUCTURED DATA

- Structured data refers to the organized ^{data} that is in a fixed format, usually in rows and columns like a table. It is easy to store, search and analyze using traditional tools such as databases and Excel.
- Example: Absa Group Limited
Source: <https://www.ibm.com>.

12. UNSTRUCTURED DATA

- Unstructured data is actually the opposite of structured data, it refers to information that does not have fixed format like rows and columns. It includes formats like text, images, audio and video which are harder to organize and analyze using traditional databases.

Example: Social Media and Communications such as Instagram.

Source: <https://www.ibm.com>

13. DATA WAREHOUSE

- Data Warehouse is a central storage system that collects and stores large amounts of data from different sources for analysis and reporting.
- Example: Shoprite Holdings
Source: <https://cloud.google.com>.

14. DATA MINING

- Data mining is the process of analysing large datasets to discover hidden patterns and useful insights. It uses techniques such as statistics, machine learning and AI to get meaningful information from data.

Example: Netflix

Source: <https://www.ibm.com>

15. DATA VISUALIZATION

- Data visualization is the process of representing data in graphs & charts and dashboards. It helps people to quickly understand the patterns in data. It turns complex data into visuals that are easier to interpret and communicate.

Example: Salesforce

Source: <https://www.ibm.com>

16. DASHBOARD

- A dashboard is a visual display that shows business information and performance in an easy to read view. It uses charts, graphs to show how a business is performing.

Example: Uber Technologies.

Source: <https://learn.microsoft.com>.

17. METRIC

- A metric is any measurable value that is used to track and assess a specific activity or process in a business. It is simply a number that shows performance. A metric only becomes a KPI when it is directly linked to a critical business objective.

Example: Volume / number of website visitors / takealo

Source: <https://www.gartner.com>.

18. KEY PERFORMANCE INDICATOR

- A KPI is a specific type of metric that is directly linked to a business goal and is used to measure how successfully an business is achieving its goals. Unlike general metrics, KPIs are carefully selected because they reflect critical success factors and actively guide decision-making.

Example: MTN group.

Source: <https://www.gartner.com>.

19. BENCHMARK

- A benchmark is a standard used to compare performance, processes or outcomes. It helps organisations see how well they are doing by checking their results against competitor. They are useful because they show whether performance is below, equal to or above what is expected.

Example: Standard Bank group may use industry benchmarks such as average customer satisfaction scores in the banking sector.

Source: <https://www.ibm.com>

20. SEGMENTATION

- Segmentation is the process of dividing data into smaller groups based on certain characteristics like age, location, etc. It helps businesses better understand different types of data they have.

Example: Vodacom Group

Source: <https://www.ibm.com>.

21. CONVERSION RATE

- Conversion rate is the percentage of website or app visitors who complete a desired action such as signing up or filling in a form. It is a key performance metric in digital marketing and shows how effectively a business turns visitors into customers or leads.

Example: Newsletter Signups

Source: <https://support.google.com>

22. CUSTOMER ACQUISITION COST (CAC)

- CAC is the total amount of money a business spends to acquire one new customer. This includes marketing expenses, advertising, promotions and any tools or systems used to convert leads into paying customers. CAC is a metric, but it becomes a KPI when it is directly linked to business profitability & growth targets.

Example: Spotify spends money on social media ads.

Source: <https://www.techtarget.com>

23. CUSTOMER LIFETIME VALUE (CLV / LTV)

- CLV is the total revenue a business expects to get from a customer over the entire relationship. It measures how valuable a customer is over time. CLV is a metric, but it becomes a KPI when a business uses it to guide strategic decisions.

Example: Amazon uses CLV.

Source: <https://www.ibm.com>

24. CHURN RATE

- Churn rate is the percentage of customers who stop using a company's product or service for a specific period of time. A high churn rate means a business is losing customers quickly, while a low churn rate indicates that the customers are loyal. Churn rate is a metric, but it becomes a KPI when customer retention is directly linked to business success.

Example: Netflix tracks churn rate

Source: <https://www.ibm.com>

25. CUSTOMER RETENTION RATE

- Customer Retention Rate is the opposite of Churn rate which is the percentage of customers a business keeps over a specific period of time. Retention rate is a metric, but it becomes a KPI when maintaining long-term customer relationships is critical to business success.

Example: Showmax tracks customer retention.

Source: <https://stripe.com>

26. NET PROMOTER SCORE (NPS)

- A net promoter score is a customer experience metric that helps businesses better understand customer loyalty and how happy customers are with their products and customer experience. A good NPS score is often a sign of a healthy business. It becomes a KPI when a business uses customer satisfaction and loyalty as a key driver of growth.

Example: Apple uses NPS

Source: <https://www.ibm.com>

27. Average Order Value (AOV)

- AOV is the average is the average amount of money a customer spends per transaction. AOV is a metric, but becomes a KPI when a business focuses on increasing revenue through strategies.

Example: Zara tracks AOV

Source: <https://www.shopify.com>

28. SALES FUNNEL

- A sales funnel also known as a marketing funnel is a model that represents the process a customer goes through from first becoming aware of a product to finally making a purchase. The funnel is tracked using multiple metrics which can become KPIs when tied to business goals such as increasing sales.

Example: Takealot uses a sales funnel.

Source: <https://www.ibm.com>

29. MARKETING CAMPAIGN

- A marketing campaign is a coordinated set of marketing activities designed to achieve a specific goal, such as increasing sales, promoting a product or building brand awareness. It uses multiple channels like social media, email, advertising.

Example: Coca-Cola runs marketing campaigns

Source: <https://www.hubspot.com>

30. POST-CAMPAIGN ANALYSIS

- Post-campaign analysis is the process of evaluating a marketing campaign after it has ended to measure its performance and effectiveness.

Example: Nike conducts post-campaign analysis.

Source: <https://growthonomics.com>.

31. INCREMENTAL REVENUE

- Incremental Revenue is the additional income a business generates as a direct result of a specific action such as marketing campaign, promotion etc.

Example: McDonald's may launch a promotion.

Source: <https://hbr.org>.

32. RETURN ON INVESTMENT

- Return on Investment is a measure used to check the profitability of an investment by comparing the gain to the cost of that investment. It shows how much value is generated for every amount spent.

Example: Unilever.

Source: <https://www.investopedia.com>.

33. RETURN ON AD SPEND (ROAS)

- Return on ad spend measures how much revenue a business earns for every unit of money spent on advertising.

Example: Nike a lot.

Source: <https://www.adjust.com>.

34. CLICK-THROUGH RATE (CTR)

- Click-through rate is the percentage of people who click on a link, ad or email after seeing it. It is calculated by dividing the number of clicks by the number of impressions and multiplying by 100.

Example: Google tracks CTR

Source: <https://support.google.com>

35. BOUNCE RATE

- Bounce rate is the percentage of visitors who land on a website and leave without engaging any further. It shows how engaging a webpage is to visitors.

Example: News24 monitors bounce rate to see how many readers leave after viewing only one article.

Source: <https://support.google.com>

36: A/B TESTING

- A/B testing is a method of comparing two things to see which one performs better.

Example: Google use A/B testing to compare different versions of search result layouts or ad designs.

Source: <https://www.oracle.com>

37. LEAD GENERATION

- Lead generation is the process of attracting and getting potential customers. This is usually done through online forms, signups and advertisements.

Example: LinkedIn uses lead generation.

Source: <https://www.microsoft.com>

38. MARKETING ATTRIBUTION.

- Marketing attribution is the process of identifying which marketing deserve credit for a customer's action such as purchase or sign up. It helps businesses understand which marketing efforts are most effective in giving results.

Example: Google uses marketing attribution

Source: <https://support.google.com>